

25STCV01594 25STCV01594

County: los-angeles

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Case Number: 25STCV01594 Hearing Date: June 30, 2026 Dept: 732

American Business Bank v. Los Angeles Produce Distributors, LLC, et al.

Tuesday, June 30, 2026

CASE NUMBER: 25STCV01594

OPPOSED

Defendant Los Angeles Produce Fresh, LLC's Motion to Compel Further Responses to Special Interrogatories from Plaintiff American Business Bank.

Facts: This matter arises from a breach of contract. Plaintiff American Business Bank ("Plaintiff") alleges, in relevant part, as follows. Plaintiff, as a lender, entered into a loan agreement (the "First Agreement") with Los Angeles Produce Distributors, LLC ("LAPD") for \$3 million, with a maturity date for the loan of July 15, 2022. (Compl., ¶ 12.) The First Agreement was guaranteed for \$1 million by several defendants, including The Jesus Modesto and Maritza Garcia Living Trust dated March 12, 2014 (the "Trust"). (Ibid.) Defendants Jesus Modesto Garcia ("Jesus")¹ and Maritza Garcia ("Maritza") (collectively "Defendants"), in their capacities as trustees of the Trust, executed a commercial guaranty for \$1 million in favor of Plaintiff relating to the First Agreement (the "First Guaranty"). (Id. at ¶ 17.)

Plaintiff and LAPD entered into a second agreement (the "Second Agreement") reducing the principal loan from \$3 million to \$2 million and extending the maturity date of the First Agreement to January 15, 2024. (Id. at ¶ 21.) The Second Agreement was also guaranteed by several defendants, including the Trust for an "unlimited" amount. (Ibid.) The Trust executed a commercial guaranty for an unlimited amount in favor of Plaintiff relating to the Second Agreement (the "Second Guaranty"). (Id. at ¶ 25.)

LAPD defaulted on the loan, and Plaintiff sent a notice of acceleration to the several defendants guaranteeing the loan (the "Notice"), including the Trust. (Id. at ¶ 28.) The Notice demanded that the guaranteeing parties, including the Trust, pay the sum of \$2,019,818.06, plus \$694.44 per day for interest, by November 22, 2024. (Id. at ¶ 30.) The guaranteeing parties, including the Trust, failed to pay the amount due by November 22, 2024, and Plaintiff seeks to recover the amount due on the

loans. (Ibid.)

Procedural History: Plaintiff filed the Complaint on January 21, 2025, alleging causes of action for:

Breach of Written Business Loan Agreement;

Breach of Written Promissory Note;

Breach of Commercial Guaranty;

Unjust Enrichment;

Fraudulent Inducement;

Fraud;

Open Book Account; and

Account Stated.

On March 19, 2025, Plaintiff dismissed the causes of action for unjust enrichment, fraudulent inducement, and fraud against Jesus and the Trust.

On August 27, 2025, this court sustained Defendants Jose and Maritza's demurrer to the Complaint, with leave to amend.

Plaintiff filed the First Amended Complaint ("FAC") on August 27, 2025, alleging eight causes of action:

Breach of Written Loan Agreement

Breach of Written Promissory Note

Breach of Commercial Guaranty

Unjust Enrichment

Fraudulent Inducement

Fraud

Open Book Account

Account Stated

On April 15, 2026, this court granted Plaintiff's motion for leave to file a second amended complaint.

Plaintiff filed the SAC on April 15, 2026, alleging the same causes of action.

On June 25, 2026, this court granted Defendant Los Angeles Produce Fresh, LLC's ("Fresh") motion to compel further responses to requests for production.

Defendant Fresh filed the present motion to compel further responses on May 18, 2026.

Plaintiff filed an opposition on June 9, 2026.

Defendant filed a reply on June 18, 2026.

Analysis:

MOTION TO COMPEL FURTHER

"Any party may obtain discovery . . . by propounding to any other party to the action written interrogatories to be answered under oath." (Code Civ. Proc., § 2030.010(a).) If a propounding party is not satisfied with the response served by a responding party, the former may move the court to compel further interrogatory responses. (Code Civ. Proc., § 2030.300; *Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants* (2007) 148 Cal.App.4th 390, 403.) The propounding party must demonstrate that the responses were incomplete, inadequate or evasive, or that the responding party asserted objections that are either without merit or too general. (Code Civ. Proc., § 2030.300(a)(1)–(3); *Sinaiko Healthcare Consulting, Inc.*, *supra*, 148 Cal.App.4th at 403.)

Defendant Los Angeles Produce Fresh LLC ("Fresh") moves to compel further responses to Special Interrogatories No. 19–21, 23, and 24 from Plaintiff American Business Bank ("Plaintiff"). Interrogatories No. 19–21 and 23 sought information concerning Plaintiff's investigation and analysis of the underlying loan agreement and the authority of the borrower's representative to contract on their behalf, to which Defendant offered objections based on Fresh's standing to seek information related to a loan agreement to which they are not a party. (Separate Statement at pp. 2–8.) Interrogatory No. 24 sought information as to the bank accounts into which the loan proceeds were disbursed, to which Plaintiff responded by identifying the declaration of Jeffrey Munson submitted with Plaintiff's application for writ of attachment. (Separate Statement at pp. 8–9.)

Fresh argues that the interrogatories are supported by good cause because although Plaintiff alleges that it is liable on the underlying loan amount pursuant to a guaranty agreement, Fresh contends that the member who signed that agreement was not authorized to do so. (Separate Statement at pp. 2–8.) Thus Fresh argues that information related to Plaintiff's verification processes is relevant to determine whether the guaranty is binding. (*Ibid.*)

Plaintiff in opposition argues that Fresh lacks standing to seek information related to the underlying loan agreement with Fresh's co-defendants, as opposed to the guaranty itself, because the loan agreement and guaranty are separate agreements. (Opposition at pp. 2–3.) Plaintiff also argues that information related to its underwriting policies is irrelevant, because its policies were not incorporated into any agreement and do not create rights on the part of the borrowers or guarantors in this case. (Opposition at p. 5.) Plaintiff further argues that it lacked actual notice that the person who signed the

guaranty for Fresh lacked authority to do so, as the materials presented indicated that they possessed authority, and deals with an LLC's manager or member are binding absent actual knowledge on the contracting party that the agent lacked authority to bind the company. (Opposition at pp. 7–9.)

Plaintiff's opposition to the motion does not so much dispute the discoverability of the information sought as the viability of Fresh's underlying defenses. Indeed, in arguing that the guaranty is binding because Plaintiff lacked actual knowledge of the signatory member's authority to act, it discloses the good cause for the discovery sought: Fresh may conduct discovery as to Plaintiff's knowledge with respect to Fresh's managers and members to act on its behalf, because such information is relevant as to whether the guaranty is binding upon Fresh:

Unless the articles of organization indicate the limited liability company is a manager-managed limited liability company, every member is an agent of the limited liability company for the purpose of its business or affairs, and the act of any member, including, but not limited to, the execution in the name of the limited liability company of any instrument, for the apparent purpose of carrying on in the usual way the business or affairs of the limited liability company of which that person is a member, binds the limited liability company in the particular matter, unless the member so acting has, in fact, no authority to act for the limited liability company in the particular matter and the person with whom the member is dealing has actual knowledge of the fact that the member has no such authority.

(Corp. Code, § 17703.01, subd. (a).)

Fresh's inquiries into Plaintiff's underwriting and due diligence policies and inquiries related to the underlying loan are reasonably related to the subject matter of this action as they are likely to reveal information concerning what Plaintiff knew about the authority of the signatory guarantor's authority to act for Fresh.

Thus a further response is required as to Interrogatories No. 19–21, and 23. However, no further response is required as to Interrogatory No. 24, to which Defendant supplied a substantive, verified response by identifying a specific document which it contends contains the information sought related to the bank accounts that received the loan proceeds. (Separate Statement at pp. 8–9.) Such a response is permissible under Code of Civil Procedure § 2030.230, and Fresh does not address the sufficiency of this response in either its moving papers or reply.

Accordingly, the motion to compel further is GRANTED as to Interrogatories No. 19–21, and 23, and DENIED as to Interrogatory No. 24.

Sanctions

Statute provides that the court shall impose sanctions upon a party who unsuccessfully makes or opposes a motion to compel further response to interrogatories, requests for production of documents, or requests for admission, absent substantial justification otherwise. (Code Civ. Proc. §§ 2030.300, subd. (d); 2031.310, subd. (h); 2033.290, subd. (d).)

Fresh seeks \$1,500.00 in sanctions, representing six hours of attorney work at \$250 per hour. (Vasko Decl. ¶ 8.) As Plaintiff has only obtained partial relief on this motion, no sanctions are awarded.

Superior Court of California

County of Los Angeles

Department 732

American Business Bank,

Plaintiff,

v.

Los Angeles Product Distributors, LLC, et al.

Defendant(s).

Case No.: 25STCV01594

Hearing Date: June 30, 2026

[TENTATIVE] RULING RE:

Defendant Los Angeles Produce Fresh, LLC's Motion to Compel Further Responses to Special Interrogatories from Plaintiff American Business Bank

Defendant Los Angeles Produce Fresh, LLC's Motion to Compel Further Responses to Special Interrogatories from Plaintiff American Business Bank is GRANTED as to Interrogatories No. 19–21, and 23, and DENIED as to Interrogatory No. 24. No sanctions are awarded. Further responses shall be served within 20 days of this order.

Defendant to give notice.

Dated: June 30, 2026

Hon. Richard S. Kemalyan

Judge of the Superior Court